

allegedly privileged information by lodging the information conditionally under seal (see ROA #74, 164), Goldman nevertheless improperly substantively used the allegedly privileged information to support his ex parte application on the receiver motion before the privilege issue had been properly determined pursuant to Section 2031.285, subdivision (d). This was improper under Section 2031.285, subdivisions (c)(1) and (d)(2). Accordingly, counsel for Goldman is **ADMONISHED** to comply with Section 2031.285 in the future.

The Court treats the parties' supplemental briefing filed per Code in advance of the instant hearing as satisfying Section 2031.285, subdivision (d)(1), such that the Court may now rule upon Interested Third Parties' assertion of the attorney-client privilege.

b. Substantive Issues

In ruling upon Interested Third Parties' assertion of attorney-client privilege, the Court is mindful that it may not require disclosure of the information claimed to be privileged in order to rule on the claim of privilege. (*Southern Cal. Gas Co. v. Public Utilities Com.* (1990) 50 Cal.3d 31, 45, fn. 19.)

Interested Third Parties contend only that the amounts of attorneys' fees paid on their behalf to Tucker Ellis in connection with the pending action, *Lundin v. Goldman*, OCSC Case No. 2022-01290254 ("the California Action"), is protected by the attorney-client privilege. (ROA #180, Supp. Opp. at p. 4.) They rely upon *Los Angeles County Board of Supervisors v. Superior Court* (2016) 2 Cal.5th 282, 297, which holds that "[w]hen a legal matter remains pending and active, the [attorney-client] privilege encompasses . . . the amount of aggregate fees" because "even though the amount of money paid for legal services is generally not privileged, an invoice that shows a sudden uptick in spending might very well reveal much of [the client]'s investigative efforts and trial strategy," and "[m]idlitigation swings in spending, for example, could reveal an impending filing or outsized concern about a recent event" (internal quotes omitted).

Goldman refutes this privilege claim by relying upon *Byers v. Superior Court* (2024) 101 Cal.App.5th 1003, 1011, which held that an insured's seeking *Brandt* fees as an element of their damages in a bad faith case against their insurer "is an implied waiver of the attorney-client privilege at least as to the attorney fees documents that the [insureds] plan to rely upon to seek to prove the amount of fees they reasonably incurred to establish their right to benefits under [the] insurance policy." Goldman contends that the waiver ruling in *Byers* applies here because Interested Third Parties obtained payment of the attorneys' fees as part of a demand for indemnification by LBG Medford, LLC and LBG Medford DN, LLC (the "Medford LLCS"). Goldman contends that it does not matter that Interested Third Parties did not make this demand as part of a legal proceeding.

But in reaching its holding, the *Byers* court explicitly noted that "it is well established in other contexts that '[w]here privileged information goes to the heart of the claim, fundamental fairness requires that it be disclosed for the litigation to proceed.'" (*Byers, supra*, 101 Cal.App.5th at p. 1011.)

Moreover, in *Kerner v. Superior Court* (2012) 206 Cal.App.4th 84, 112, fn. 13, the Court of Appeal has refused to apply this type of "nonstatutory implied waiver of

the attorney-client privilege in some circumstances when the client puts the privileged communication directly at issue in litigation and disclosure is essential to a fair adjudication” when the person asserting the privilege is “not a party to the trial court proceedings and did not put any matter at issue here.” That is precisely the situation here, as the instant action involves Goldman as the Plaintiff/Judgment Creditor and LBG REC as the Debtor, and Interested Third Parties are not parties to this action and did not put any matter at issue here.

Therefore, the Court holds that Interested Third Parties have appropriately asserted in this action a claim of attorney-client privilege over the amount of attorneys’ fees paid on their behalf to Tucker Ellis.

Accordingly, the Court **SUSTAINS** Interested Third Parties’ objections to Goldman’s use of the privileged information in this action and **ORDERS** that any papers filed by Goldman containing such privileged information be **STRICKEN** from the record.

Interested Third Parties are **ORDERED** to prepare a proposed order specifying the filings that are subject to strike and submit the proposed order within 5 court days of this ruling.

2. Receiver Motion

Accordingly, the Court did not consider the amount of the attorneys’ fees subject to Interested Third Parties’ attorney-client privilege in ruling upon Goldman’s receiver motion.

Under Code of Civil Procedure section 708.620, “[t]he court may appoint a receiver to enforce the judgment where the judgment creditor shows that, considering the interests of both the judgment creditor and the judgment debtor, the appointment of a receiver is a reasonable method to obtain the fair and orderly satisfaction of the judgment.”

Further, under Code of Civil Procedure section 564, subdivision (b), the court may appoint a receiver in the following cases, in relevant part:

(1) In an action . . . by a creditor to subject any property or fund to the creditor’s claim . . . on the application of the plaintiff . . . , and where it is shown that the property or fund is in danger of being lost, removed, or materially injured.

. . .

(3) After judgment, to carry the judgment into effect.

(4) After judgment, to dispose of the property according to the judgment, . . . or pursuant to the Enforcement of Judgments Law

. . .

(9) In all other cases where necessary to preserve the property or rights of any party.

“[T]rial courts enjoy a large measure of discretion, albeit not an entirely uncontrolled one, in deciding when to exercise their authority to appoint a receiver.” (*Medipro Medical Staffing LLC v. Certified Nursing Registry, Inc.* (2021) 60 Cal.App.5th 622, 627, internal quotes omitted.)

It is well-established under California law that “[b]ecause the appointment of a receiver transfers property—or in this case, a business—out of the hands of its owners and into the hands of a receiver, the appointment of a receiver is a very drastic, harsh, and costly remedy that is to be exercised sparingly with caution.” (*Id.* at p. 628, internal quotes & citations omitted.) Thus, “[d]ue to the extraordinary nature of this remedy and the special costs it imposes, courts are strongly discouraged—although not strictly prohibited—from appointing a receiver unless the more intrusive oversight of a receiver is a necessity because other, less intrusive remedies are either inadequate or unavailable.” (*Id.*, internal quotes omitted.)

Indeed, “[i]n light of the sheer number of enforcement mechanisms for collecting money judgments under the Enforcement of Judgments Law, . . . appointment of a receiver is rarely a necessity and, as a consequence, may not ordinarily be used for the enforcement of a simple money judgment.” (*Id.*, internal citations & quotes omitted.) Appointment of a receiver is “reserved for exception circumstances where the judgment creditor’s conduct makes a receiver necessary—and hence proper,” which “occurs when the judgment debtor has frustrated the judgment creditor’s collection efforts through obfuscation or through otherwise contumacious conduct that has rendered feckless the panoply of less intrusive mechanisms for enforcing a money judgment.” (*Id.*, internal quotes omitted.)

In *Medipro*, the appellate court held that the trial court had abused its discretion in appointing a receiver when there was no evidence, let alone the substantial evidence necessary to sustain a proper exercise of discretion, that the judgment debtor and related entities and persons had “engaged in obfuscation or other obstreperous conduct to the degree that the other collection mechanisms available under the Enforcement of Judgments Law were ineffective.” (*Id.* at p. 629.)

Indeed, the creditor had not served any interrogatories requesting information to aid in the collection of the judgment, did not place any liens on relevant property, and did not seek to compel any appearance at debtors’ examinations, although the creditor had unsuccessfully tried to serve one debtor and had served another but had yet to conduct the examination. (*Id.* at p. 625.)

The appellate court in *Medipro* also rejected the creditor’s contention that the trial court could have reasonably inferred that slowdowns in the debtors’ accounts receivable and distributions were due to the debtors’ nefarious conduct, as such an inference was “based on nothing but speculation,” as it was “based on nothing more than its counsel’s ‘information and belief’ and is thus also ‘insufficient.’” (*Id.* at p. 629.)

Here, Goldman similarly has not served any interrogatories or noticed, much less conducted, a debtor’s exam. (ROA #66, Opp., at p. 2.) In fact, even after LBG REC pointed this out in its initial opposition filed on 1/15/2026, Goldman still has not served interrogatories or noticed a debtor’s exam. (ROA #174, Supp. Op. at p. 10.) Moreover, LBG REC represents that it “will submit to a debtor’s exam and/or

respond to post-judgment interrogatories.” (*Id.*) Goldman contends—without any citation to authority—that he is “not required to pursue the full panoply of less intrusive enforcement mechanisms before seeking a receiver” simply because this case involves “complex motivations and ongoing litigation.” (ROA #202, Reply, at p.3.) But *Medipro* clearly holds that these are basic, less intrusive mechanisms for enforcing a judgment, and without trying them first, appointment of a receiver can hardly be deemed a necessity.

Indeed, Goldman’s own moving memorandum of points and authorities concedes that “[i]t is unclear what is the disposition of the property of LBG REC” or “whatever income or property there is.” (ROA #32, Mot. P&A at pp.9.) These are questions that can be appropriately clarified and answered through interrogatories and a debtor’s exam in the first instance.

Nor has Goldman shown, with sufficient evidence, that LBG REC or its managers have obfuscated Goldman’s efforts to collect on his judgment to such a degree that the drastic remedy of a receiver is appropriate. At most, Goldman’s declaration points conclusorily to certain LBG REC financial documents and spreadsheets to contend that LBG REC has had assets and, at times, a projected net positive cashflow in 2021 to 2024, yet has not paid Goldman’s judgment. (See, e.g., Goldman Decl., ¶¶ 39-43, Exhs. I-K.) But neither Goldman’s declaration nor any of his briefs in support of the receiver motion clearly explains—with appropriate citations to specific page and line numbers of the proffered exhibits—what exactly the figures show or how the listed figures support his contentions. Instead, it appears from these documents that LBG REC is correct in contending that “both net operating income and net income have been consistently negative from October 2022 through April of 2024, with a few positive months that are significantly outweighed by the more numerous and larger negative months.” (Opp. at p. 12, citing Goldman. Decl., Exh. K at pp. 5-6 of 16.)

Moreover, even after LBG REC’s opposition pointed out that Goldman’s motion supported his “claims that LBG REC is owed substantial amounts from the other LBG entities . . . only by citing to cryptic financial statements that do not support the contentions for which he cites them” (Opp. at p. 3), Goldman failed to clearly explain his contentions with sufficient evidentiary support. For example, although LBG REC’s opposition contended that “the other LBG Entities have no contractual obligation whatsoever to pay fees to LBG REC” (*id.*), Goldman’s reply simply responds by contending that “[t]he first page of Exhibit I is an excerpt from one such contract” requiring the payment of fees to LBG REC (Reply at p. 5). But page 1 of Exhibit I is an incomplete copy of a “Schedule A” that purports to set forth “Commission Rates” and refers to various capitalized terms like “Agent” for which no definition is provided. And Goldman’s declaration proffering Exhibit I states only that it is “a true and correct copy of an Excel spreadsheet produced by LUNDIN and BEISWENGER in discovery, which reflects monies transferred to LBC [*sic*] REC in 2023 and 2024, among other data.” (ROA #33, Goldman Decl., ¶ 39, Exh. I.) There is no explanation about what “Schedule A” is a part of or how it relates to the subsequent spreadsheet that constitutes the remainder of Exhibit I. Nor has Goldman explained who prepared the subsequent spreadsheet, the context for the creation of the spreadsheet, or what the spreadsheet purports to show. Accordingly, Goldman’s declaration lacks the necessary foundation to properly authenticate Exhibit I, much less explain how it is to be interpreted and understood.

		The Court also does not find persuasive Goldman’s newly discovered evidence relating to Medford LLCs’ fee payments to Tucker Ellis. This action is one for the enforcement of Goldman’s judgment against LBG REC based on LBG REC’s assets. The fee payments in question were not made by LBG REC but by the Medford LLCs. Goldman has not demonstrated that the assets used by the Medford LLCs were LBG REC’s assets such that they are subject to satisfaction of Goldman’s judgment against LBG REC. Ultimately, Goldman’s claims that Lundin and Beiswenger are mismanaging the Medford LLCs by allegedly improperly paying their personal attorneys’ fees to Tucker Ellis are issues for disposition in the related California Action, not in this enforcement action. At bottom, Goldman has not produced sufficient evidence to demonstrate that the drastic, harsh, and costly remedy of appointing a receiver is necessary under the circumstances. Accordingly, Goldman’s receiver motion is DENIED. LBG REC shall give notice of all of the above.
109	Andrawes Husary vs. Shahidi 2025- 01487294	Motion – Pro Hac Vice The Court previously conditionally approved counsel’s application to appear Pro Hac Vice but ordered an amended application upon learning that the sponsoring attorney had passed away. Moving party has so far failed to comply with the Court’s order. The Court therefore continues this matter to the date of the rescheduled motion for stay and CMC with the proviso that the Court will consider whether to issue an amended order denying counsel’s PHV application for failure to file the amended application. Moving party is ordered to file the amended application 10 days before the continued hearing date of 07/23/2026 at 02:00 PM in Department CX102. Clerk to give notice
110	Sandoval vs. Cybex Security Solutions, LLC 2024- 01398109	Motion for Final Approval re Class and PAGA Settlement Plaintiff Vicente Sandoval’s Motion for Final Approval of Class Action and PAGA Settlement is CONDITIONALLY GRANTED, pending the resolution of the issues identified below. This is a putative wage-and-hour class action and PAGA matter. On May 8, 2024, Plaintiff Vicente Sandoval, as an individual and on behalf of all others similarly situated (“Plaintiff”), filed a Class Action Complaint against Defendants Cybex Security Solutions, LLC and Sonitrol Orange County, LLC (“Defendants”). The Complaint asserts seven (7) causes of action for various violations of the Labor Code’s wage-and-hour provisions and unfair business practices. On July 15, 2024, as a matter of right, Plaintiff filed the operative First Amended Class and Representative Action Complaint (“FAC”) adding a claim for PAGA penalties. Defendants answered on September 9, 2024.